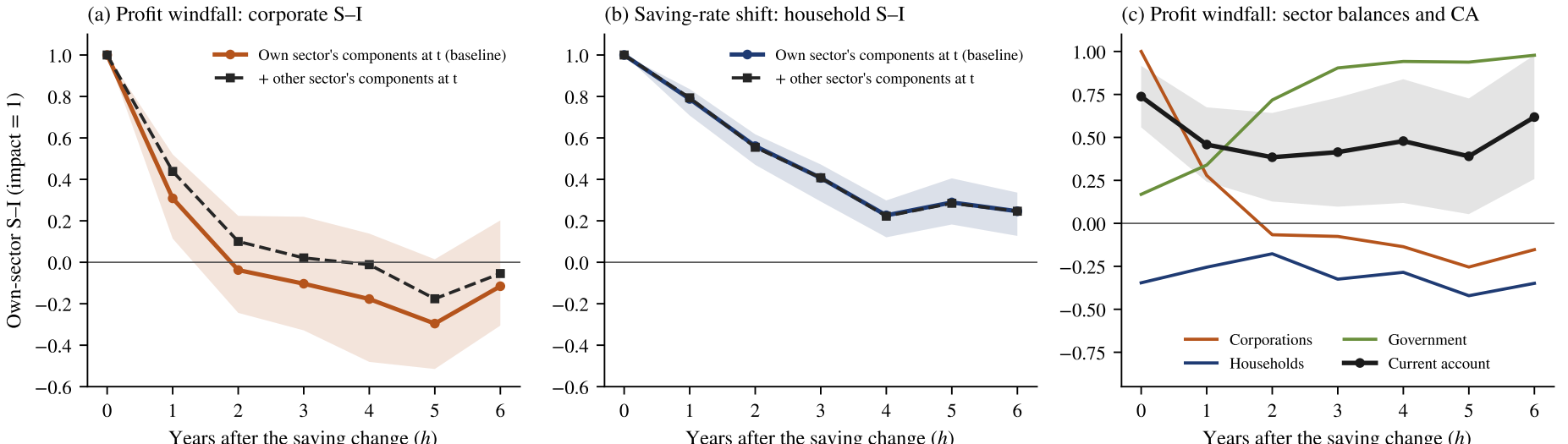
Other sectors' components at t, and where the windfall ends up



Notes: Same local projections as the main persistence figure; bands from the country-cluster delta method. (a)–(b): the dashed line adds the other sector's two components at t. (c): cumulative change in each sector's balance and in the current account after a profit windfall, from the corporate equation, scaled by the impact response of the corporate balance; the shaded area is the 68 percent band for the current account (country-cluster delta method). Balances need not add up to the current account (financial corporations, statistical discrepancies).